

## MY KILLING IN COMMODITIES

**I**F YOU WANT TO KNOW THE TRUTH, I HAD SECOND THOUGHTS about everything I'd done. These doubts were helped along by the message that awaited me when I returned to my hotel from the corn pit. It was from Lind-Waldock, telling me I was already \$2,500 over my head and subject to an immediate margin call. A margin call occurred when the price of a commodity had gone against you, forcing you to put more cash in your account to cover the debit. If you didn't put up more cash, then your positions could be liquidated—in my case less than an hour after I'd taken them.

I called Lind-Waldock immediately, and the phone clerk and I tried to unravel this mess. Had pork bellies plunged in the time it took for me to walk from one exchange to the other? Had the deutsche-mark straddle collapsed around us? Together, we determined that the problem was the yen option. Each contract involved ten times more yen than I'd thought. Mr. Epstein and I had missed a decimal point on the menu of investments.

Controlling 12 million yen instead of 1.2 million was a heady prospect, but it meant that the option had cost \$2,140 and not \$214 as I'd supposed. Since I'd only put \$2,000 in the account to begin with, there wasn't enough margin to cover all of my four commitments.

Even if I'd wanted to cover my investment in yen, I didn't feel like walking back to the American Express office to buy more traveler's checks. I asked the phone clerk what to do, and he suggested we sell out my yen position immediately.

He called a few minutes later to tell me that the yen had gone up in the hour or so I'd owned it, so I ended up with a \$25 profit